sector. Structural reform measures which would put the industry on a stronger footing included exclusion of non-telecom revenues from the definition of AGR on a prospective basis, increasing the tenure of spectrum allocation from twenty years to thirty years, permitting surrender of spectrum after ten years in future auctions, levying no spectrum usage charges (SUC) in future spectrum auctions and encouraging sharing of spectrum by removing additional 0.5 per cent SUC earlier levied on spectrum transfers.

These measures have brought back confidence in the telecom operators. The operators could hike the charges for prepaid customers in November–December 2021. The churn of subscribers is also nearing the end.

It looks as though the sector would see operations becoming profitable for all the three operators soon.

BSNL–MTNL on Ventilator Support

The BSNL–MTNL duo is on its deathbed. There were 96.09 crore active wireless/mobile telephone subscribers in India (according to VLR, or visitor location register, data) at the end of September 2019. Of this, active subscribers of BSNL and MTNL were only about 6.44 crore and 10 lakh, respectively. Thus, the public-sector duo enjoyed a princely share of 6.71 per cent. BSNL–MTNL largely offer 2G services and consequently their ARPU is also low. Little wonder then, that BSNL reported a loss of over Rs 14,000 crore on revenues of Rs 19,300 crore in 2018–19. MTNL, a listed company, reported a net loss of Rs 3390 crore for the year 2018–19. The loss of MTNL widened to Rs 3694 crore in 2019–20. BSNL accounts for 2019–20 are still not available. These are estimated by market sources to be Rs 15,500 crore.

The government announced a ‘revival’ package of Rs 69,000 crore in October 2019. Budget 2020–21 made a provision of Rs 37,640 crore to provide support to BSNL and MTNL, including Rs 14,115 crore of equity